

Why do I need an Inspector of Election

Prior to the commencement of any annual or special meeting of shareholders, Inspectors of Election are required to affirm an oath pledging to perform their duties “with strict impartiality and to the best of [their] abilities.”

Defining the Scope of Inspection

Inspectors must determine:

- What elements require inspection?
- How should the inspection be conducted?
- How frequently should each component be reviewed prior to certifying the vote?

Given the binding nature of the oath, clarity and diligence are paramount.

Key Areas of Inspection

Inspectors must:

1. **Evaluate Voting Systems:** Assess the functionality, audit trails, and potential failure points of the company’s proxy tabulation systems.
2. **Verify Quality Control Measures:** Confirm the presence and execution of accuracy checks. For instance, Broadridge requires manual verification of votes exceeding 50,000 shares and randomly audits 1% of remaining votes.
3. **Review Exception Handling:** Examine how the system processes anomalies such as damaged ballots, last-minute submissions, corrections, and vote reversals.
4. **Consult Audit Reports:** Leverage internal and external audit findings to assess the robustness of tabulation controls. The SSAE-16 report, which evaluates system suitability and operational effectiveness, is considered the gold standard.
5. **Apply Professional Judgment:** Inspectors must remain vigilant for irregularities. For example, misaligned proxy card printing once led to incorrect vote tabulation, which was only detected through manual review.

Special Considerations for Close Votes

When shareholder proposals are contentious or voting margins are narrow (typically within 1%), Inspectors must:

- Scrutinize large voting blocks and unvoted positions.
- Investigate over-votes and ensure the most recent vote is counted.

- Expand inspection to include votes representing 0.25% to 0.5% of shares voted.

Importance of Team-Based Oversight

Given the complexity and evolving nature of proxy voting, Inspectors should operate within a collaborative framework. A team-based approach enhances the ability to address unforeseen challenges and ensures a higher standard of oversight.

Source : Shareholder Source Optimizer. Read the full article at [What, Exactly, Should Inspectors Of Election Be Inspecting? | Optimizer Online](#)